

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

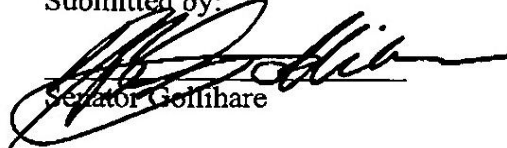
No. 1

☐ COMMITTEE AMENDMENT

(Date)

I move to amend Senate Bill No. 1447, by substituting the attached floor substitute (Request # 3769) for the title, enacting clause and entire body of the measure.

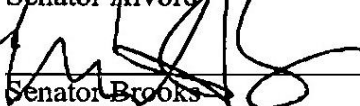
Submitted by:

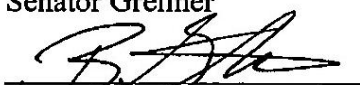

Senator Gollihare

I hereby grant permission for the floor substitute to be adopted.

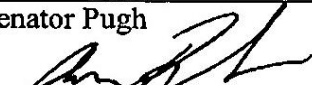

Senator Coleman, Chair (required)

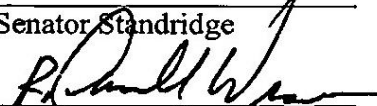

Senator Alford


Senator Brooks

Senator Grellner

Senator Guthrie

Senator Mann

Senator Pugh

Senator Reinhardt

Senator Standridge

Senator Weaver

Senator Paxton, President Pro Tempore

Senator Daniels, Majority Floor Leader

Note: Business and Insurance committee majority requires six (6) members' signatures.

Gollihare-CAD-FS-SB1447
3/13/2026 10:58 AM

(Floor Amendments Only)

Date and Time Filed: 3/17/26 11:10am gd

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

1 STATE OF OKLAHOMA

2 2nd Session of the 60th Legislature (2026)

3 FLOOR SUBSTITUTE
4 FOR

5 SENATE BILL NO. 1447

By: Gollihare of the Senate

and

6 Marti of the House

7
8
9 FLOOR SUBSTITUTE

10 An Act relating to the Oklahoma Employees Insurance
11 Plan; defining terms; requiring certain provisions to
12 be included in certain contract; prohibiting pharmacy
13 benefits manager (PBM) from changing drug placement
14 on a formulary without certain written authorization;
15 prohibiting PBM from prohibiting certain guarantees
16 of set pricing; prohibiting PBM from including
17 certain plan designs without certain impact analysis
18 and certain written approval of certain provisions by
19 state plan; prohibiting PBM from establishing certain
20 less favorable network terms; prohibiting
21 establishment of certain gag clauses by certain PBM;
22 prohibiting establishment of certain contract
23 provisions that create certain conditions that
24 exclude certain pharmacies without certain
justification; requiring PBM to disclose certain
affiliates or subcontractors prior to awarding of
certain contract; requiring certain rebates to be
passed through to state plan; construing provisions;
establishing certain determination of certain
guarantees; requiring PBM to maintain certain System
and Organization Controls (SOC) Type 2 certification;
requiring PBM to provide certain written impact
analysis prior to approval of changes to certain
contract provisions; requiring certain impact
analysis to include certain provisions; requiring PBM
to submit certain report including certain claim-
level reporting data; requiring certain report to
include certain provisions; allowing certain contract

1 proposal to be scored based on certain provisions;
2 providing for codification; and providing an
3 effective date.

4 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

5 SECTION 1. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 1330.1 of Title 74, unless there
7 is created a duplication in numbering, reads as follows:

8 As used in this act:

9 1. "Affiliate" means any person or entity that controls, is
10 controlled by, or is under common control with another person or
11 entity;

12 2. "Affiliated pharmacy" means any pharmacy, mail pharmacy,
13 specialty pharmacy, or pharmacy services provider that is owned,
14 operated, managed, or controlled by a pharmacy benefits manager
15 (PBM) or that otherwise shares profits or losses with the PBM or an
16 affiliate through common ownership, management, or contractual
17 arrangement;

18 3. "Control" means the possession of the power to direct or
19 cause the direction of management and policies of a person or
20 entity, whether through ownership of voting securities, by contract,
21 or otherwise. Control shall be established if a person or entity
22 owns, controls, or holds with power to vote, ten percent (10%) or
23 more of the voting securities or other ownership interest of the
24 other person or entity;

1 4. "Operation data" means all data and records generated,
2 received, maintained, or derived in connection with the provision of
3 PBM services to a state plan, including claims data, pricing files,
4 payment and remittance data, adjudication edits, rejection and
5 reversal data, provider network files, pharmacy contracts and
6 amendments, audit records, formulary files, utilization management
7 outputs, communications affecting benefits, and any reports derived
8 from such data;

9 5. "Rebate" means any payment, discount, credit, or price
10 concession received by a PBM, or any affiliate or subcontractor of
11 such PBM, from a drug manufacturer or such manufacturer's affiliate,
12 in connection with utilization of a prescription drug, including
13 formulary rebates, market share rebates, performance rebates,
14 administrative fee rebates, and any other manufacturer-originated
15 remuneration;

16 6. "Remuneration" means anything of value, whether in cash or
17 in kind, paid, transferred, or provided to or for the benefit of a
18 PBM, or any affiliate or subcontractor of such PBM, in connection
19 with a prescription drug product or pharmacy benefit including, but
20 not limited to, rebates, discounts, price concessions,
21 administrative fees, services fees, data fees, network access fees,
22 market share fees, formulary placement fees, inflationary or price
23 protection payments, coupon or co-pay offset payments, dispensing or
24

1 transaction fees, reconciliation payments, and any other payments in
2 cash or credit regardless of characterization;

3 7. "State plan" means the self-insured plan provided pursuant
4 to the Oklahoma Employees Insurance Plan;

5 8. "Subcontractor" means any person or entity, other than an
6 employee of the PBM that performs, delegates, supports, or
7 administers any PBM function including claims processing, network
8 administration, rebate contracting or aggregation, formulary or
9 utilization management, mail or specialty pharmacy services,
10 auditing, pricing services, or data hosting, analytics, reporting,
11 or transmission whether under a written or oral agreement;

12 9. "Total net cost" means, for a stated measurement period, the
13 sum of all amounts paid by the state plan for covered prescription
14 drugs including, but not limited to, all ingredient cost amounts,
15 dispensing fees, and any other amounts billed to the state plan and
16 all amounts paid by covered members for covered prescription drugs,
17 including co-payments, coinsurance, and deductible amounts, minus
18 all rebates and remuneration required to be passed through to the
19 state plan. Total net cost shall be calculated without regard to
20 the gross rebate volume or the list price of the drug; and

21 10. "Utilization management" means the same as defined in
22 Section 2562 of Title 63 of the Oklahoma Statutes.

1 SECTION 2. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 1330.2 of Title 74, unless there
3 is created a duplication in numbering, reads as follows:

4 A. Any pharmacy benefits manager (PBM) contract with a state
5 plan shall:

6 1. Declare state plan ownership of all plan-specific
7 operational data including, but not limited to, claims, pricing,
8 rebates, formulary, utilization management outputs, audit data, and
9 any such related reporting maintained by the PBM or any affiliate or
10 subcontractor of such PBM;

11 2. Provide that the state plan have broad audit rights and
12 shall determine designated auditors over any PBM and any affiliates
13 or subcontractors of such PBM to verify compliance with contract
14 provisions;

15 3. Establish network adequacy including rural access and
16 compliance with any applicable pharmacy choice and access rules
17 established by contract;

18 4. Provide that the state plan have exclusive authority over
19 formulary selection, tiering, preferred status, exclusions,
20 specialty designation, and utilization management of any provisions
21 of such contract. Nothing in this paragraph shall be construed to
22 prohibit the PBM from providing recommendations to the state plan
23 for formulary selection, tiering, preferred status, exclusions,
24 specialty designation, or utilization management; and

1 5. Offer for inclusion in such contract, at the election of the
2 state plan, one or more set pricing guarantee methodologies for
3 covered outpatient drugs including, but not limited to, National
4 Average Drug Acquisition Cost (NADAC) plus a dispensing fee, maximum
5 allowable cost (MAC) pricing, or any objectively verifiable
6 benchmark approved by the state plan.

7 B. No PBM shall:

8 1. Modify criteria, add restrictions, or change placement of
9 drugs on a formulary without written authorization by the state plan
10 to make such changes;

11 2. Restrict or prohibit the state plan from requiring or
12 negotiating set pricing guarantees;

13 3. Include any plan design or incentive to steer any members of
14 the state plan to a pharmacy affiliated with such PBM unless such
15 plan design or incentive is authorized in writing by the state plan
16 after submission of an impact analysis established pursuant to
17 subsection A of Section 3 of this act;

18 4. Establish network terms or reimbursement methodologies that
19 are less favorable to nonaffiliated pharmacies than to affiliated
20 pharmacies;

21 5. Establish gag clauses limiting the state plan's ability to
22 share contract terms, performance metrics, audit results, or cost
23 data with oversight entities, auditors, actuaries, or counsel. Any
24

1 contract terms shared pursuant to this paragraph shall be subject to
2 reasonable confidentiality; and

3 6. Establish contract provisions that create reimbursement or
4 network conditions that exclude specific pharmacies from the network
5 without documented and state plan-approved access and cost
6 justifications.

7 C. The PBM shall be required to disclose any affiliates or
8 subcontractors of such PBM to the state plan prior to the awarding
9 of a contract and shall disclose any additional affiliate or
10 subcontractor at no fewer than thirty (30) days after such affiliate
11 or subcontractor is associated with the PBM.

12 D. All rebates and formulary rebates including, but not limited
13 to, administrative or data fees or network or service fees shall be
14 passed through to the state plan. Nothing in this subsection shall
15 be construed to require the pass-through of any amounts authorized
16 as fixed and separately stated administrative fees to the state
17 plan.

18 E. Any guarantees established by the contract between a PBM and
19 a state plan shall be determined by total net cost and access
20 outcomes and shall not be determined by rebate volume. Such
21 performance guarantees shall include clear remedies in the form of
22 credits payable by the plan for failure to comply with the
23 provisions of the contract.

24 F. A PBM shall:

1 1. Maintain System and Organization Controls (SOC) Type 2
2 certification for the duration of the contract with the state plan;
3 and

4 2. Provide to the state plan, all plan-specific operational
5 data and reporting in the form and medium prescribed by the plan
6 within the time frame established by the contract, or if not
7 specified, within five (5) business days of the state plan's request
8 for then existing data, and within thirty (30) days after the close
9 of each month for monthly files and reports. Such PBM shall not
10 withhold or delay such data or charge any amount except for the
11 fixed administrative fee for extraction, access, interfaces,
12 licensing, or delivery, including any fees imposed by affiliates or
13 subcontractors of such PBM, and shall remain responsible for
14 compliance even if such data is held or processed by such affiliate
15 or subcontractor.

16 SECTION 3. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 1330.3 of Title 74, unless there
18 is created a duplication in numbering, reads as follows:

19 A. The pharmacy benefits manager (PBM) shall provide a written
20 impact analysis to the state plan prior to the state plan approving
21 any change to contract provisions, formularies, utilization
22 management criteria, network design, reimbursement methodologies, or
23 any plan design or incentive pursuant to paragraph 3 of subsection B
24 of Section 2 of this act. No change shall be implemented unless the

1 state plan authorizes in writing such change. Such impact analysis
2 shall include at minimum:

3 1. The total number of members impacted by each proposed
4 change;

5 2. The total net plan cost impact of each proposed change;

6 3. The member out-of-pocket impact of each proposed change;

7 4. The state plan cost impact of each proposed change; and

8 5. The pharmacy access impact of each proposed change,
9 including rural access impacts.

10 B. The PBM shall submit an electronic report in a form and
11 medium prescribed by the state plan that shall include for each
12 prescription drug claim itemized, claim-level reporting data
13 sufficient to validate the following:

14 1. The date of dispensing;

15 2. The National Drug Code (NDC);

16 3. The drug quantity;

17 4. The number of days' supply;

18 5. The dispensing pharmacy identifier in the form of the
19 National Provider Identifier (NPI) and the National Council for
20 Prescription Drug Programs (NCPDP) Number;

21 6. If the dispensing pharmacy is affiliated with the PBM;

22 7. The final total payment received by the dispensing pharmacy
23 from all sources;

24 8. The ingredient cost paid to the dispensing pharmacy;

1 9. The final dispensing fee paid to the dispensing pharmacy;

2 10. Any post-adjudication fees, withholds, recoupments,
3 incentives, or other adjustments applied to the claim;

4 11. The total gross amount billed to the state plan for the
5 claim;

6 12. The total gross amount billed to the state plan for the
7 drug's ingredient cost;

8 13. The total gross amount billed to the state plan for the
9 dispensing fee;

10 14. The total net amount billed to the state plan for the
11 claim;

12 15. The total net amount billed to the state plan for the
13 drug's ingredient cost;

14 16. The total net amount billed to the state plan for the
15 dispensing fee; and

16 17. All other amounts charged in connection with the claim.

17 C. Any contract term in violation of the provisions of this act
18 shall be voidable and severable at the election of the state plan.
19 Any violation of the provisions of this act may constitute a
20 material breach and may be grounds for termination for cause, in
21 addition to any other remedies available under contract or law.

22 D. Any request for proposal for PBM services for the state plan
23 shall include:

24 1. Bidder certification of compliance;

2. A compliance narrative; and

3. Sample contract language demonstrating compliance with the provisions of this act.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1330.4 of Title 74, unless there is created a duplication in numbering, reads as follows:

In evaluating proposals for a contract between a pharmacy benefits manager (PBM) and the state plan, the state plan may assign favorable scoring or weighting to proposals based on factors in addition to price including, but not limited to:

1. Accessibility and in-state presence, including the ability of the PBM to provide regular in-person meetings with state officials and the positive economic impact of the PBM's operations within this state, including employment, investment, and other economic activity within this state;

2. Compliance history, including the PBM's record of regulatory actions, legal judgments, settlements, or enforcement actions involving a state, self-insured plan, or governmental entity relating to pharmacy reimbursement, claims processing, audit practices, or other PBM business activities; and

3. Transparent pricing models, including the offering of a flat-fee-per-claim-processed model or a per-member-per-month administrative fee model that minimizes or eliminates spread pricing and other undisclosed revenue streams.

SECTION 5. This act shall become effective November 1, 2026.

60-2-3769 CAD 3/17/2026 11:24:34 AM